

Datadog, Inc.

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REDUCE

Fair value (12-mo horizon reference)	\$100.00
Current price (October 2, 2026 close)	\$277.22
Implied upside / downside	-64%
Verdict	REDUCE

Investment Thesis

Datadog built the best observability platform in cloud computing: twenty-plus products on a single pane of glass, best-in-class land-and-expand motion, and net revenue retention that was once the envy of software. We respect the product deeply. But \$277.22 prices the equity at more than \$90 billion of enterprise value against roughly \$3 billion of revenue -- around 30 times sales -- for a business whose growth has already decelerated from the 60s into the 20s. Our probability-weighted fair value is \$100.00, implying 64% downside. This is a REDUCE rather than a SELL only because the underlying franchise is genuinely elite; the business is fine, the multiple is not.

Our central judgment is that the observability layer is being commoditized at the edges faster than the market appreciates. OpenTelemetry has standardized data collection, which erodes the proprietary-agent advantage Datadog was built on; Grafana, Elastic, and the hyperscalers' native tooling all compete credibly at lower price points. Meanwhile Datadog's usage-based pricing faces a subtle but powerful deflationary force: as customers optimize cloud spend -- the defining enterprise behavior of the last three years -- observability bills are among the first line items scrutinized, because they scale with the very infrastructure customers are trying to shrink.

AI workloads are the standard bull argument: more data, more complexity, more monitoring. We agree volumes grow; we disagree that Datadog captures the economics. AI-native architectures generate enormous telemetry at falling unit prices, and the vendors best positioned to monetize AI observability are the model and infrastructure providers themselves. Datadog can keep growing revenue in the 20s for years and still be worth a fraction of today's price, because 30x sales requires not just growth but growth at software's highest historical multiples, sustained for a decade. We see a very good company priced as an immortal one.

The seat-based and usage-based pricing model faces a second, AI-specific deflationary force worth naming. As enterprises deploy AI agents, the ratio of machine-generated to human-generated telemetry explodes while willingness to pay per unit of telemetry falls -- buyers negotiate volume discounts aggressively, and AI-native buyers are the most price-sensitive of all. Datadog benefits from the volume and suffers on the unit price; net,

we expect revenue per unit of monitored infrastructure to decline over time. This is the classic innovator's treadmill: run faster in volume to stand still in price.

Business Overview

Datadog, Inc., headquartered in New York and founded in 2010, provides a SaaS observability and security platform spanning infrastructure monitoring, application performance monitoring, log management, digital experience, and cloud security. The platform is sold primarily on consumption-based pricing, which drives the celebrated land-and-expand dynamic: customers adopt one product and expand to many. Revenue is roughly \$3 billion annually with a large enterprise customer base, and the company has consistently posted among the highest net retention rates in enterprise software, albeit moderating from peaks above 130%.

Forward Outlook

Our judgment is that Datadog's revenue growth continues decelerating toward the mid-teens over our horizon as the law of large numbers meets intensifying competition. The product engine remains strong -- new security and AI-adjacent SKUs will contribute -- but each incremental product faces a more crowded field than the last, and pricing power in core infrastructure monitoring is structurally declining as collection commoditizes.

Margins should expand as the company scales -- the model has genuine operating leverage -- but multiple compression will dominate the equity math. Software history is unambiguous on this point: when growth decelerates from 60% to 20%, multiples compress from 30x sales toward 8-10x regardless of quality. Datadog's free-cash-flow margins, already in the 20s, can improve, but not fast enough to offset a two-thirds derating. Our fair value assumes the business executes well and the multiple normalizes anyway.

Competition deserves specificity because it is no longer theoretical. Grafana Labs has built a credible open-source-based alternative adopted by sophisticated engineering organizations; Elastic has stabilized; and the hyperscalers -- AWS, Azure, GCP -- bundle native monitoring that is good enough for a growing share of workloads and free at the point of decision. Datadog wins head-to-head evaluations on product depth, but procurement is increasingly deciding on price, and good-enough-plus-bundled is winning more deals than it used to. Net revenue retention, the metric that once justified any multiple, has been moderating for tangible reasons.

Valuation

We value Datadog on a probability-weighted scenario DCF with a 12% base discount rate, reflecting competitive and multiple-compression risk in enterprise software. In the bear case, consumption growth stalls near 10%, pricing pressure intensifies, and the exit multiple falls to 6x sales -- implying value near \$40. In the base case, revenue compounds in the low 20s through decade-end, free-cash-flow margins expand into the low 30s, and an 8x exit sales multiple -- appropriate for a scaled, still-growing SaaS leader -- supports our \$100.00 target. In the bull case, AI observability becomes a genuine supercycle and value approaches \$180.

Weighting 25% / 50% / 25% gives a probability-weighted fair value of \$100.00. The bear case sits far below the current price, as required. The arithmetic is stark: even capitalizing our bull-case 2030 revenue at a premium multiple and discounting back, the present value cannot approach \$277. The price requires economics beyond the bull case.

Our 8x exit sales multiple in the base case is worth defending: it is the multiple the market has historically paid for scaled SaaS growing in the high teens with 30% free-cash-flow margins -- ServiceNow, Adobe, and Salesforce all traded there at similar life-cycle stages. Datadog bulls implicitly assume it sustains 20x-plus sales multiples at \$10 billion-plus revenue scale; no software company in history has done so. The derating from 30x to 8x on growing revenue still produces our \$100 target -- the business can double revenue and the stock can fall by two-thirds, because the starting multiple assumed the business would triple revenue at peak multiples forever.

Key Risks

- Enterprise cloud-spend optimization could re-accelerate, directly pressuring Datadog's consumption-based revenue.
- Competitive pressure from Grafana, Elastic, hyperscaler-native tooling, and OpenTelemetry-based alternatives compressing pricing.
- Multiple compression as growth decelerates -- the dominant risk to the shares regardless of execution.
- Heavy stock-based compensation diluting shareholders even as the business grows.
- AI workloads shifting observability value capture toward infrastructure and model providers.

What Would Change Our Mind

- Net revenue retention re-accelerating above 130% with demonstrated pricing power, not just seat expansion.
- Sustained free-cash-flow margins above 35% proving the model scales better than we assume.
- Evidence that Datadog is capturing AI-observability economics -- premium-priced AI SKUs at material scale.
- The shares derating toward our \$100 fair value, where the quality of the franchise would make risk/reward attractive.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon -- 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) -- weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case.

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